Discussion: When Does SARB Balance Sheet Expansion Affect Banking Sector Stability? Evidence from a State-Dependent Approach

Finstab Research Symposium

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Purpose

- Investigates *when* SARB balance sheet expansion supports or undermines banking sector stability
- Distinguishes between **low-stress** and **high-stress** financial regimes using the credit-to-GDP gap
- Employs two complementary models:
  - State-dependent Bayesian SVAR (main model)
  - State-dependent Bayesian IV Local Projection (robustness)
- Data: 160 quarterly observations, 1984Q1–2024Q4

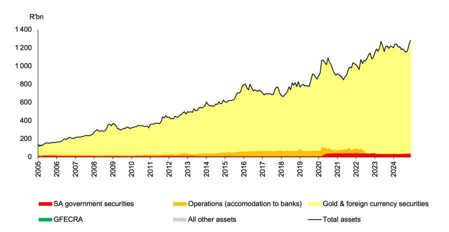
Key Findings

- Balance sheet expansion **stabilises** Tier 1 capital in *low-stress* periods — operates via liquidity provision and asset price support
- In *high-stress* periods, the effect **weakens and becomes less predictable** — financial intermediation frictions dampen transmission
- Conventional monetary policy (policy rate) has **limited impact** on bank stability when financial stress is elevated
- Exchange rate, inflation, and property price shocks are significantly amplified in high-stress regimes
- Credit-to-GDP gap threshold: –3 125, splitting sample roughly evenly (48% high-stress, 52% low-stress)

Comment 1: Strengths

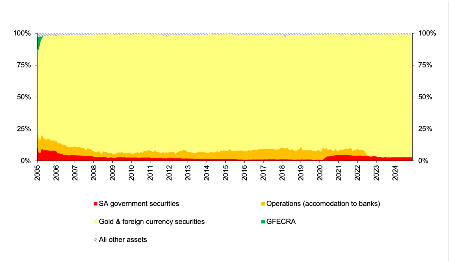
- **Timely and policy-relevant**: Directly speaks to SARB's evolving balance sheet and macroprudential mandate
- State-dependent framework captures nonlinear dynamics overlooked by linear models
- Credit-to-GDP gap as regime variable aligns with BIS macroprudential standards and SARB's own surveillance framework
- Dual-model design (BSVAR + IV-LP) strengthens identification and robustness
- Long sample (1984–2024) spans multiple financial cycles including COVID-19

Comment 2: Contextualising the SARB Balance Sheet



- SARB total assets grew from ~R150bn (2005) to ~R1.3trn (2024)
- Growth driven overwhelmingly by **gold & foreign currency reserves** — not domestic asset purchases
- Operations (accommodation to banks) remains a small share
- This is *not* QE in the conventional sense — a distinction the paper could make more explicit

Comment 3: Balance Sheet Composition Matters



- Gold & foreign currency consistently **above 80%** of total assets throughout the sample
- The stabilising effect found in the paper may reflect **reserve accumulation** rather than liquidity injection
- Does the transmission channel differ depending on *what* drives balance sheet expansion?
- Decomposing the central bank assets variable could sharpen interpretation

Comment 4: Identification and Regime Classification

- The HP filter for the credit-to-GDP gap is well established but carries known limitations:
  - **End-point problem**: estimates revise as new data arrive — relevant for real-time policy use
  - Sensitivity to the smoothing parameter λ
- The grid-search threshold (–3 125) splits sample nearly evenly — is this the most economically meaningful cut-off?
- External instrument (US Fed balance sheet): justification is sound, but global financial cycle effects could confound South African-specific transmission
- Impulse responses in the Minnesota prior-levels VAR: long-horizon magnitudes should be interpreted cautiously as credible bands widen

Comment 5: Extending the Policy Implications

- Finding that balance sheet expansion is **less effective under stress** has a critical policy implication: relying on it *during* a crisis may be insufficient
- The paper recommends a **state-contingent, integrated framework** — but what does this look like operationally for the SARB?
- How do the results interact with **Basel III capital buffers** (e.g., countercyclical capital buffer) already calibrated to the credit gap?
- Future work: does the *composition* of the balance sheet (accommodation vs. FX reserves vs. GFECRA) matter differently across regimes?

Comment:

- Havemann et al. (2022)
- Choudhary (2022)
- Fowkes (2022)

Conclusion

Important paper — one of the first to formally model state-dependent SARB balance sheet effects on banking stability

Key ask: be explicit about how SARB balance sheet expansion differs from conventional QE, and sharpen the operational policy recommendations

The regime-dependent framework is a valuable addition to South Africa's financial stability toolkit

References I

Choudhary, Rhea. 2022. *Analysing the Spillover Effects of the South African Reserve Bank's Bond Purchase Programme*. Economic Research Department, South African Reserve Bank.

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Havemann, Roy, Henk Janse Van Vuuren, Daan Steenkamp, and Rossouw Van Jaarsveld. 2022. *The Bond Market Impact of the South African Reserve Bank Bond Purchase Programme: Working Paper 876*. Economic Research Department, South African Reserve Bank.